



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

SB 1497: school districts; insurance quotes

GRESS FLOOR AMENDMENT

1. Deletes language that excludes a school district that participates in a self-insurance program that meets specified criteria from the prescribed school district self-insurance program quote requirement.

GRESS FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1497
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-382, Arizona Revised Statutes, is amended to
3 read:

4 15-382. Authorization to self-insure; pooling agreements;
5 joint agreements; trustees; liability coverage and
6 pool requirements; annual required coverage
7 information; definition

8 A. ~~The~~ A school district governing board may determine that
9 self-insurance is necessary or desirable in the best interest of the
10 district and may provide for a self-insurance program or programs for the
11 district, including risk management consultation. Any risk management
12 consultant or insurance administrator employed by a school district
13 governing board must be licensed under title 20, chapter 2, article 3 or
14 9, and ~~such~~ THE license shall be verified by the school district governing
15 board ~~prior to~~ BEFORE employment.

16 B. The school district governing board may:

17 1. Enter into intergovernmental agreements or contracts with pools
18 operated pursuant to section 11-952.01 for participation in SELF-INSURANCE
19 programs offered by public agency pools. In addition to the joint
20 purchasing of insurance or reinsurance or the pooling of the retention of
21 risks for property, fidelity and liability losses, these SELF-INSURANCE
22 programs may include the joint purchasing of health benefits plan, life or
23 disability insurance, prepaid legal insurance or the pooling of the
24 retention of their risks of losses for health, accident, life or
25 disability claims or the provision of the health and medical services
26 enumerated in section 36-2907.

27 2. Separately contract with a trustee or board of trustees that
28 provides a common self-insurance program or SELF-INSURANCE programs with

1 pooled funds and risks to more than one district, a community college
2 district formed pursuant to chapter 12 of this title or an association of
3 school districts within this state that is funded by member school
4 districts pursuant to section 15-342, paragraph 8 or a pool created for
5 and operated solely for charter schools pursuant to section 11-952.01.
6 Beginning January 1, 2010, a trustee, board of trustees or pool that
7 contracts with a school district governing board or charter school
8 pursuant to this paragraph shall comply with title 38, chapter 3, article
9 3.1, title 39, chapter 1 and section 11-952.01, subsections M and N.

10 3. Enter into cooperative procurement agreements with other
11 districts pursuant to rules adopted pursuant to section 15-213 to
12 participate in programs for either self-insurance or the joint purchase of
13 insurance.

14 4. Separately establish a self-insurance program solely for its
15 district.

16 C. If the school district governing board, either alone or in
17 combination with another school district or an association of school
18 districts in this state that is funded by member school districts pursuant
19 to section 15-342, paragraph 8, establishes a self-insurance program, the
20 governing board or an association of school districts shall place all
21 funds into a trust to be used for payment of uninsured losses, claims,
22 defense costs, costs of training designed to reduce losses and claims, the
23 cost of related employee benefits including wellness programs, life,
24 disability and other fully and partially insured group insurance plans,
25 programs that allow for participation in a cafeteria plan that meets the
26 requirements of the United States internal revenue code of 1986, costs of
27 administration and other related expenses. If a member of the governing
28 board or employee of the school district is acting as a trustee, the trust
29 shall be administered by at least five joint trustees, of whom ~~no~~ NOT more
30 than one may be a member of the governing board and ~~no~~ NOT more than one
31 may be an employee of the school district. Funds budgeted for
32 self-insurance programs ~~shall be~~ ARE subject to district budgetary
33 requirements, including ~~but not limited to~~ the requirements that the funds
34 be budgeted within the maintenance and operation section and the budget
35 limitation on increases as prescribed in section 15-905. The funds, ~~upon~~
36 ON being placed in the trust, ~~shall~~ DO not lapse at the close of the
37 fiscal year, except that any cash balance remaining after termination of
38 the SELF-INSURANCE program and settlement of all outstanding claims shall
39 be used for reduction of school district taxes for the budget year. The
40 trustees of the trust must be bonded, a stop-loss provision must be
41 incorporated in the trust agreement, and an annual audit must be performed
42 by a certified public accountant and a copy of the report kept on file in
43 the district office for a period of ~~not less than~~ AT LEAST five years.

44 D. If the self-insurance is for liability losses, excess liability
45 coverage or reinsurance must be obtained as follows:

46 1. For a single school district, the coverage may include an annual
47 aggregate limit of ~~no~~ NOT more than ~~three million dollars~~ \$3,000,000 and

1 the maximum retention per occurrence shall be one-half of one ~~per cent~~
2 PERCENT of the district's maintenance and operation budget.

3 2. For a pool, the coverage may include an annual aggregate limit
4 set by the pool and the maximum retention per occurrence shall not exceed
5 one-half of one ~~per cent~~ PERCENT of the combined maintenance and operation
6 budgets of the districts in the pool.

7 E. IF A SCHOOL DISTRICT GOVERNING BOARD ESTABLISHES A
8 SELF-INSURANCE PROGRAM PURSUANT TO THIS SECTION TO PURCHASE DISABILITY OR
9 HEALTH BENEFIT PLANS INSURANCE, POOL THE RETENTION OF RISKS OF LOSSES FOR
10 HEALTH OR ACCIDENT CLAIMS OR PROVIDE HEALTH AND MEDICAL SERVICES AND THE
11 SCHOOL DISTRICT EMPLOYS AT LEAST THREE HUNDRED EMPLOYEES, THE SCHOOL
12 DISTRICT GOVERNING BOARD SHALL OBTAIN QUOTES FOR COVERAGE AND SERVICES
13 FROM AUTHORIZED SERVICE PROVIDERS AT LEAST ONCE DURING EVERY FOUR-YEAR
14 PERIOD TO DETERMINE WHETHER COMPARABLE COVERAGE AND SERVICES ARE AVAILABLE
15 AT A MORE FAVORABLE PRICE. A SCHOOL DISTRICT GOVERNING BOARD MAY NOT
16 RENEW COVERAGE OR SERVICES FROM ANY PERSON THAT FAILS TO PROVIDE TIMELY,
17 ACCURATE AND COMPLETE INFORMATION AS REQUIRED BY SUBSECTION F OF THIS
18 SECTION. FOR THE PURPOSES OF THIS SUBSECTION, "AUTHORIZED SERVICE
19 PROVIDERS" MEANS ANY OF THE FOLLOWING:

20 1. TWO OR MORE SERVICE PROVIDERS THAT ARE AVAILABLE THROUGH THE
21 POOL, TRUSTEE OR BOARD OF TRUSTEES THAT ADMINISTERS THE SCHOOL DISTRICT'S
22 SELF-INSURANCE PROGRAM.

23 2. TWO OR MORE QUALIFIED INSURERS THAT PROVIDE PROPOSALS DIRECTLY
24 TO THE SCHOOL DISTRICT GOVERNING BOARD.

25 3. AN INSURANCE PRODUCER WHO IS LICENSED PURSUANT TO TITLE 20,
26 CHAPTER 2, ARTICLE 3 AND WHO OBTAINS PROPOSALS FROM TWO OR MORE QUALIFIED
27 INSURERS ON BEHALF OF THE SCHOOL DISTRICT GOVERNING BOARD.

28 F. AT LEAST SIXTY DAYS BEFORE THE END OF THE CURRENT BENEFIT
29 PROGRAM YEAR, EACH TRUST, INSURER, THIRD-PARTY ADMINISTRATOR, PHARMACY
30 BENEFIT MANAGER OR OTHER PERSON WHO SUPPORTS THE SCHOOL DISTRICT'S
31 SELF-INSURANCE PROGRAM SHALL PROVIDE THE FOLLOWING INFORMATION TO THE
32 SCHOOL DISTRICT IN AN ELECTRONIC, MACHINE-READABLE FORMAT:

33 1. MONTHLY ENROLLMENT COUNTS BY EMPLOYEE-ONLY AND DEPENDENT TIERS
34 FOR EACH PLAN OPTION OFFERED TO THE SCHOOL DISTRICT FOR THE TWO CALENDAR
35 YEARS THAT IMMEDIATELY PRECEDE THE CURRENT YEAR.

36 2. MONTHLY TOTAL CLAIMS PAID, DISAGGREGATED BY MEDICAL CLAIMS AND
37 PRESCRIPTION DRUG CLAIMS, FOR THE TWO CALENDAR YEARS THAT IMMEDIATELY
38 PRECEDE THE CURRENT YEAR.

39 3. A DETAILED REPORT ON ENROLLEES WHOSE TOTAL CLAIMS PAID EXCEEDS
40 \$50,000 FOR ANY OF THE FOUR CALENDAR YEARS THAT IMMEDIATELY PRECEDE THE
41 CURRENT YEAR AND ENROLLEES WHOSE TOTAL CLAIMS PAID IS PROJECTED TO EXCEED
42 \$50,000 IN THE CURRENT YEAR. THE REPORT REQUIRED BY THIS PARAGRAPH MUST
43 INCLUDE ONLY DE-IDENTIFIED DATA, COMPLY WITH THE HEALTH INSURANCE
44 PORTABILITY AND ACCOUNTABILITY ACT OF 1996 (P.L. 104-191; 110 STAT. 1936)
45 AND INCLUDE THE FOLLOWING:

46 (a) THE TOTAL CLAIMS PAID FOR EACH ENROLLEE.

1 (b) EACH ENROLLEE'S DIAGNOSIS OR A DESCRIPTION OF EACH ENROLLEE'S
2 MEDICAL CONDITION OR CONDITIONS.
3 (c) A STATEMENT INDICATING WHETHER EACH CLAIM IS:
4 (i) COMPLETED WITH NO FURTHER HEALTH CARE SERVICES EXPECTED.
5 (ii) ONGOING WITH ADDITIONAL HEALTH CARE SERVICES EXPECTED OR
6 REQUIRED TO ADDRESS THE ENROLLEE'S DIAGNOSIS, MEDICAL CONDITION OR MEDICAL
7 CONDITIONS.
8 4. DETAILED PRESCRIPTION DRUG DATA FOR THE IMMEDIATELY PRECEDING
9 TWELVE-MONTH PERIOD FOR ALL ENROLLEES, INCLUDING THE FOLLOWING LINE-LEVEL
10 DETAILS:
11 (a) THE NATIONAL DRUG CODE.
12 (b) THE DATE EACH PRESCRIPTION WAS FILLED.
13 (c) THE DRUG NAME.
14 (d) THE TOTAL DAYS' SUPPLY OF THE DRUG.
15 (e) THE METRIC QUANTITY THAT IS DISPENSED.
16 (f) THE INGREDIENT COST.
17 (g) THE DISPENSING FEE.
18 (h) THE PHARMACY PROVIDER NUMBER.
19 (i) THE AMOUNT PAID BY THE SCHOOL DISTRICT, IF ANY.
20 (j) THE AMOUNT PAID BY THE ENROLLEE, IF ANY.
21 (k) THE TOTAL AMOUNT OF REBATES RECEIVED, INCLUDING REBATES BY THE
22 DRUG MANUFACTURER AND THE METHOD OF ALLOCATION.
23 (l) THE AMOUNT OF PHARMACY BENEFIT MANAGER ADMINISTRATIVE FEES
24 PAID, IF ANY.
25 (m) ANY OTHER FEES CHARGED TO THE SCHOOL DISTRICT, INCLUDING
26 PER-CLAIM FEES, NETWORK ACCESS FEES, DATA OR CLINICAL PROGRAM FEES,
27 SPREAD-PRICING COMPONENTS AND ALL SOURCES OF PHARMACY BENEFIT MANAGER
28 COMPENSATION CHARGED TO THE SCHOOL DISTRICT.
29 (n) WHETHER PRICING IS SET ON A PASS-THROUGH OR SPREAD BASIS.
30 5. COMPLETE DOCUMENTATION FOR EACH BENEFIT PLAN CURRENTLY AVAILABLE
31 TO THE SCHOOL DISTRICT'S EMPLOYEES, INCLUDING THE FOLLOWING FOR EACH PLAN:
32 (a) SUMMARY BENEFITS AND COVERAGE.
33 (b) FULL PLAN DOCUMENTS OR BENEFIT BOOKLETS.
34 (c) PRESCRIPTION DRUG FORMULARIES.
35 (d) COST-SHARING STRUCTURES, DEDUCTIBLES AND OUT-OF-POCKET
36 MAXIMUMS.
37 6. A REPORT OF COMPREHENSIVE ELIGIBILITY CENSUS DATA FOR ALL
38 EMPLOYEES AND FOR ALL DEPENDENTS WHO PARTICIPATE IN THE SCHOOL DISTRICT'S
39 SELF-INSURANCE PROGRAM THAT IS UPDATED NOT MORE THAN SIXTY DAYS BEFORE THE
40 REPORT IS SUBMITTED. THE REPORT REQUIRED BY THIS PARAGRAPH MUST INCLUDE
41 ONLY DE-IDENTIFIED DATA, COMPLY WITH THE HEALTH INSURANCE PORTABILITY AND
42 ACCOUNTABILITY ACT OF 1996 (P.L. 104-191; 110 STAT. 1936) AND INCLUDE, FOR
43 EACH EMPLOYEE AND DEPENDENT, ALL OF THE FOLLOWING:
44 (a) DATE OF BIRTH.
45 (b) GENDER.
46 (c) ZIP CODE OF RESIDENCE.
47 (d) COVERAGE TIER.

1 (e) SELECTED PLAN.
2 ~~[G. SUBSECTIONS E AND F OF THIS SECTION DO NOT APPLY IF THE SCHOOL~~
3 ~~DISTRICT PARTICIPATES IN A SELF-INSURANCE PROGRAM THAT MEETS ALL OF THE~~
4 ~~FOLLOWING:~~
5 ~~1. IS PROVIDED BY A NONPROFIT CORPORATION HEALTH CARE POOL THAT IS~~
6 ~~FORMED PURSUANT TO SECTION 11-952.01.~~
7 ~~2. HAS TWO OR MORE NETWORK OPTIONS FOR SCHOOL DISTRICT MEMBERS.~~
8 ~~3. HAS AN ADMINISTRATOR THAT IS A NONPROFIT CORPORATION THAT IS~~
9 ~~FORMED PURSUANT TO SECTION 11-952.]~~
10 ~~E.~~ [H.] [G.] FOR THE PURPOSES OF THIS SECTION, "self-insurance
11 program": ~~as used in this section~~
12 1. Means programs established and wholly or partially funded by the
13 school district governing board. ~~Self-insurance programs shall~~
14 2. DOES not include a decision by the governing board not to carry
15 insurance ~~upon~~ ON a particular risk or risks.

16 Enroll and engross to conform
17 Amend title to conform

MATT GRESS

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